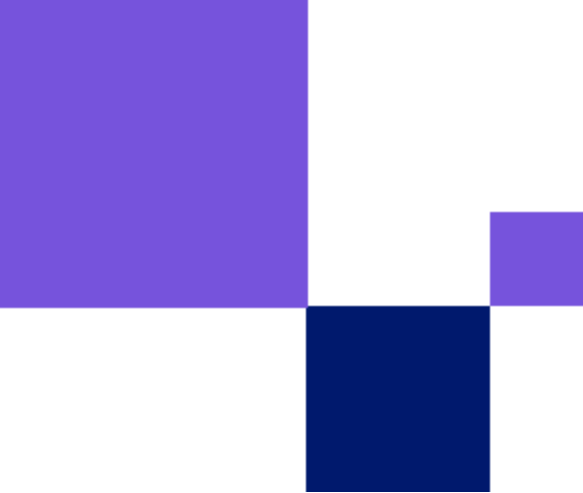


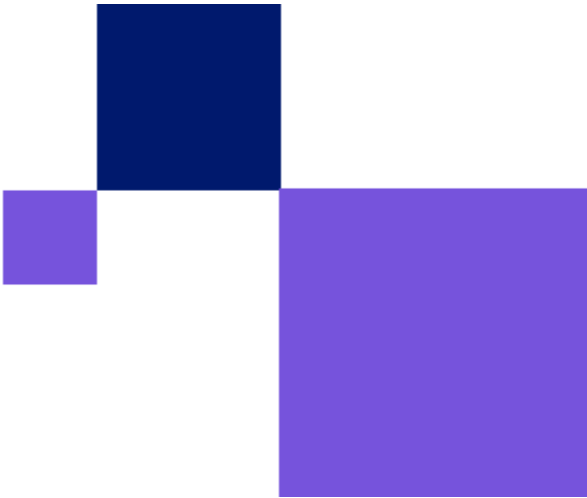


Foundations of Financial Accounting (ACC107)

Lecture 12

Chapter 6

(Auditing, ethics and corporate governance)



Learning outcomes

By the end of this lecture and with your own self study you should be able to:

- Explain the objective and principles of auditing
- Explain the expectations gap
- Explain the term audit risk
- Describe the audit process
- Explain different types of auditor's opinions
- Explain auditor ethics and the importance of an auditor being ethical
- Define corporate governance
- Explain corporate social responsibility (CSR)
- Discuss the type of information a company includes under environmental reporting

What is an audit?

- <https://www.youtube.com/watch?v=pkKO9ZNyOlc>

AUDITING



What my friends think I do



What my mom thinks I do



What society thinks I do



What the partners think I do



What I think I do



What I actually do

Big 4 Accounting Firms



Deloitte.



What is an audit?

- An *audit* is the work performed by auditors (*independent experts* such as Chartered Accountants in UK or CPA in China or USA)- so they can provide an informed professional independent opinion on whether financial statements portray a *true and fair view*.
- This opinion is based on compliance with accounting practices, principles and norms. These are captured in accounting standards.

True and fair view

The financial statements of limited companies are required to give a true and fair view of the company's financial position at the reporting period date and of its profit or loss for the reporting period.

Financial statements provide a true and fair view if they contain **sufficient information** (in quantity and quality!) to satisfy the reasonable expectations of the users of the financial statements.

Why is a statutory external audit required?

- Financial statements information is used by a wide range of stakeholders (e.g., investors) in making economic decisions.
- Typically, those that own a company, the shareholders, as well as stakeholders, are **not** those that manage it.
- To enhance the degree of **confidence** in the financial statements, a qualified external party (an auditor) is engaged to examine the financial statements to give their professional opinion.
- A statutory audit is required for all listed companies and larger companies. In many cases this is required by law.



Objective of an audit

‘The purpose of an audit is to enhance the degree of confidence of intended users in the financial statements. This is achieved by the expression of an opinion by the auditor on whether the financial statements are well prepared, in all material respects, in accordance with an applicable financial reporting framework’ (e.g. Accounting Standards) (ISA 200, 2018)

- The purpose of audit does **NOT** include;
 - *Detecting a financial fraud*
 - *Consultation for management decision*

Expectations gap (1/2)

- The **expectations gap** is the gap between the auditors' role and opinion and the public's perception of the auditors' role.
- Many members of the public believe that auditors are *looking for fraud* when they undertake an audit, that auditors say the *financial statements are accurate*, that the auditors are *responsible* for the financial statements and that auditors should *give warnings* about the future of the entity when they suspect it is going to fail.

Expectations gap (2/2)

- The audit report does **not** say the financial statements are correct.
- Auditors only check a **sample** of transactions not every transaction, therefore, they cannot guarantee that fraud will be detected.
- An audit does not guarantee that a company will succeed in the future.
- Management **are** responsible for the financial statements that they prepare, or that are prepared on their behalf.
- Management **are** also fully responsible for the running of the company.

Principles of an audit

- *‘The auditor should comply with relevant ethical principles.’*
- The auditor should conduct an audit **in accordance with ISAs** (International standards for Auditing).
- The auditor should plan and perform an audit with an attitude of **professional scepticism**, recognising that circumstances may exist that cause the financial statements to be materially misstated.
- The auditor should plan and perform the audit to **reduce audit risk** to an acceptably low level that is consistent with the objective of an audit.’
(ISA 200, 2018)

Audit risk

- **Audit risk** is the risk that the auditor will express an inappropriate audit opinion.
 - for example, by giving a positive opinion when the financial statements include material misstatements.
- The auditor needs to evaluate the acceptable level of audit risk.
- This is influenced by the auditor's knowledge of the entity, the financial statements, internal controls and personal experience.
- The higher the audit risk, the **more testing** required and vice versa.

The audit process

Five main stages:

1. Client acceptance or retention
2. Audit planning stage
3. Control/Compliance testing stage
4. Substantive testing stage
5. Opinion formulation stage

** You are **NOT** required to memorize the sequence of five stages.*

The auditor's report

The auditors are appointed by the equity shareholders at the AGM (Annual General Meeting), act on their behalf, and report to them in the annual published financial statements (containing an audit report).

The auditors' function is to report their **opinion** on whether '***the accounts give a true and fair view** of the financial position and the profit/loss of the company and have been properly prepared in accordance with Accounting framework (e.g. Accounting standards)*'.

Audit report - contents

Title (independent audit report);

Addressee (to the shareholders of company name);

Opinion- details the location of the financial statements audited (page numbers) and contains reference to the financial reporting framework used to prepare the financial statements (i.e. IFRS) and the opinion on the financial statements;

Basis for opinion – refers to the framework the audit was conducted under – ISAs and applicable law, auditors independence and audit evidence

Conclusions relating to going concern, materiality and consistency

Other information – no material inconsistencies with other information in the annual report and the financial statements

Matters – report by exception – required by CA 2006.

Responsibilities of directors – preparing the financial statements, internal controls, going concern

Auditors responsibilities

Auditor's **address**; and

Auditor's **signature**.

** Note: This is an example. You are Not required to memorize this.*

Accounting Concept (Ch.4)

- **Accounting concept**

- broad **basic assumptions** which underlie the periodic financial accounts of business enterprises.

- ***Going concern concept***

- This concept is the assumption that the business will continue operating into the foreseeable future.
- The implication is that assets are valued at an **appropriate measurement basis**, such as historical cost, fair value or value-in-use, not their scrap value.
- When financial statements are not prepared on a going concern basis, this fact should be disclosed.

Accounting Concepts (con't)

- **Materiality Concept**

- Only material items should be disclosed/presented in financial statements.
- Information is material if its **omission** or **misstatement** could influence decisions that users make on the basis of financial information about a **specific reporting entity**.

- **Consistency Concept**

- Allows the user to look at a set of financial statements and assume that the **same policies, methods** and **estimation techniques** have been used from year to year.
- So performance can be monitored over time and with other entities (all entities disclose how they account for *material* transactions).

Examples – BP Plc. (2021)

- Auditor's report and Financial statements are parts of company's annual Report
- BP Annual Report 2021 p.130

(<https://www.bp.com/content/dam/bp/business-sites/en/global/corporate/pdfs/investors/bp-annual-report-and-form-20f-2021.pdf>)

Consolidated financial statements of the bp group

Independent auditor's report to the members of BP p.l.c.

Report on the audit of the financial statements

1. Opinion

In our opinion:

- The financial statements of BP p.l.c. (the 'parent company') and its subsidiaries (the 'group') give a true and fair view of the state of the group's and of the parent company's affairs as at 31 December 2021 and of the group's profit for the year then ended.
- The group financial statements have been properly prepared in accordance with United Kingdom adopted international accounting standards and International Financial Reporting Standards (IFRSs) issued by the International Accounting Standards Board (IASB).
- The parent company financial statements have been properly prepared in accordance with United Kingdom accounting standards (United Kingdom generally accepted accounting practice), including Financial Reporting Standard (FRS) 101 'Reduced Disclosure Framework'.
- The financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

In-class MCQs

Q1. Which of the following is the primary purpose of an audit of financial statements?

- A. To provide a guarantee of the accuracy of the financial statements**
- B. To express an opinion on the fairness of the financial statements**
- C. To detect fraud and error in the financial statements**
- D. To prepare the financial statements for the company**

In-class MCQs

Q2. Which of the following is a limitation of the audit process?

- A. Auditors are able to detect all fraud and errors in financial statements**
- B. The audit process provides absolute assurance about the accuracy of financial statements**
- C. The auditor relies on evidence provided by management and third parties**
- D. Auditors are responsible for preparing the financial statements**

In-class MCQs

Q3. Which of the following reduces audit risk?

- A. Increased sample size for testing**
- B. Relying only on internal controls without testing them**
- C. Reducing the number of audit procedures**
- D. Avoiding any substantive testing**

In-class MCQs

Q4. Which of the following statements is correct regarding the concept of audit evidence?

- A. Audit evidence is only obtained through the examination of documentary evidence**
- B. Audit evidence should be sufficient and appropriate to support the auditor's opinion**
- C. The auditor does not need to consider the reliability of audit evidence**
- D. Audit evidence is only relevant for detecting fraud**

The auditor's opinions

- Unmodified/Unqualified/Clean opinion
- Clean but emphasis of matter report
- Qualified/Modified opinion
- Adverse opinion
- Disclaimer

Unmodified/Unqualified/Clean opinion

An audit report with a positive opinion on a company's financial statements is called an **unmodified, unqualified**, or a **clean audit report**.

- **Unqualified/Unmodified/Clean** opinion
 - When the financial statements are **free from material misstatement**; and
 - When the auditors are able to obtain **sufficient appropriate evidence**.

Example:

“...In our opinion, the financial statements

- give a true and fair view;*
- are prepared in accordance with the generally accepted accounting practice;”*

Unmodified/Unqualified/Clean opinion - example

- A one off fraud involving £ 500 is discovered in a large public limited company. No other issues are uncovered by the audit. The management has taken steps to ensure the fraud does not occur again and you are happy with those steps.

Which audit report would you issue?

- A) Clean report
- B) Qualified audit report
- C) Not 'true and fair view' report
- D) Adverse opinion

Explanation:

- The misstatement of £ 500 is **immaterial**. It does not affect the true and fair view of the financial statements of the large plc. The management has taken steps and you are happy that this will not occur again. A clean report is appropriate.

Qualified/Modified opinion

- The auditor concludes that, **except for specific matters** explained in the audit report, the financial statements give a true and fair view.

Example:

*“...In our opinion, **except for the matter referred to above**, the financial statements give a true and fair view...”*

Qualified/Modified opinion - example

- Tutorial Ex.1 - MCQ No. 2
 - A customer invoice is included in the sales ledger, and it is known that the customer is in liquidation. This is the only entry in relation to this transaction and it is regarded as **material**. All other areas are fine and you are happy with them. Which audit report would you issue?
- A) Clean report
- B) Qualified audit report.**
- C) Not 'true and fair view' report
- D) Clean but emphasis of matter report

Explanation

- The inclusion of a bad debt will result in a **materially** different trade receivables and profit figure. However, **the rest of the figures are unaffected**. Unlike an adverse or disclaimer of opinion, a **qualified opinion is generally still acceptable to lenders, creditors, and investors**.

Clean but emphasis of matter report

- There is only one type of modified/qualified audit report that can also be regarded as **clean** and that is when the **auditor wants to emphasize some matter** to the reader of the financial statements.
- In this instance the auditor includes an ‘*emphasis of matter paragraph*’
- Examples of circumstances :
 - when there is uncertainty about exceptional future events
 - early adoption of new accounting standards and
 - when a catastrophe has had an impact on the financial position.

Example:

Emphasis of matter paragraph

*“... we draw attention that directors are named as defendants in a proposed legal action next month... Our **opinion is not qualified** in respect of this matter...”*

Adverse opinion

- If the misstatement is **material and pervasive**
=> **Adverse opinion**
- **Pervasiveness** is a matter that requires **professional judgment**. In this case the judgment is whether the matter is isolated to **specific components** of the financial statements, or whether the matter pervades **many** elements of the financial statements, rendering them unreliable as a whole.

Example:

*“...In our opinion, because of the effects of the matter referred to above, the financial statements **do not give a true and fair view...**”*

Adverse opinion - example

- In circumstances where an auditor has been in conflict with the directors about the treatment of an important matter in the financial statements and the auditor feels that **the financial statements are misleading**, the auditor would express:
 - A) An unqualified opinion
 - B) A qualified opinion
 - C) **An adverse opinion**
 - D) A disclaimer of opinion

Disclaimer

- If the auditor ***could not collect sufficient appropriate audit evidence*** to formulate audit opinion

=> **Disclaimer**

Example:

*“...Because of the significance of the matters discussed...we **do not express an opinion** on the financial statements...”*

A disclaimer of opinion - example

- The auditor is **unable to obtain sufficient appropriate audit evidence** on which to base the opinion, and the auditor concludes that the possible effects on the financial statements of undetected misstatements could **be material and pervasive**. The auditor would express:

- A) An unqualified opinion
- B) A qualified opinion
- C) An adverse opinion
- D) A disclaimer of opinion

Modified opinion and Disclaimer

Nature of the matter	Material but <i>NOT</i> pervasive	Material and pervasive
Financial statements are materially misstated	Qualified opinion (‘... except for...give a true and fair view...’)	Adverse opinion (‘F/S do not give a true and fair view... ’)
Unable to obtain sufficient appropriate audit evidence	Qualified opinion (‘... except for...give a true and fair view... ’)	Disclaimer of opinion (‘... we do not express an opinion... ’)

Ethics and auditors

Under law **auditors should be independent**, carry out their work with integrity, be technically up to date, be competent and maintain competence and be able to defend their audit work.

The auditing industry is reliant on ethics for survival, as ethics underpins the whole point of an audit.

In-class MCQs

Q5. In the context of an audit, materiality refers to:

- A. The auditor's judgment of the financial statements' accuracy**
- B. The amount of misstatement that would affect the decision of users of the financial statements**
- C. The size of the financial statements**
- D. The importance of auditing internal controls**

In-class MCQs

Q6. When should an auditor issue an unmodified opinion (also known as unqualified)?

A. When there is a material misstatement in the financial statements

B. When the auditor is unable to obtain sufficient audit evidence

C. When the financial statements comply with the applicable accounting framework and provide a true and fair view

D. When the auditor believes the financial statements are misleading but still provides an opinion

In-class MCQs

Q7. When should an auditor issue a disclaimer of opinion on the financial statements?

- A. When there is a material misstatement that cannot be corrected**
- B. When the auditor is unable to obtain sufficient appropriate audit evidence**
- C. When there is a significant deficiency in internal controls**
- D. When the financial statements are not prepared in accordance with IFRS**

In-class MCQs

Q8. Which of the following is an example of a situation that might lead to an adverse opinion?

- A. The auditor is unable to perform substantive procedures**
- B. The auditor is unable to confirm the inventory balance through physical observation**
- C. The financial statements contain material misstatements that affect their reliability**
- D. The company has not paid its taxes on time**

Corporate governance

- Corporate governance is defined as **‘the system by which companies are directed and controlled’**.
- It captures the internal systems concerning the strategic running of the company and encompasses policies, processes and people.
- It promotes strong control by management, risk identification and forward-looking board of directors.
- It tries to promote director objectivity and integrity.

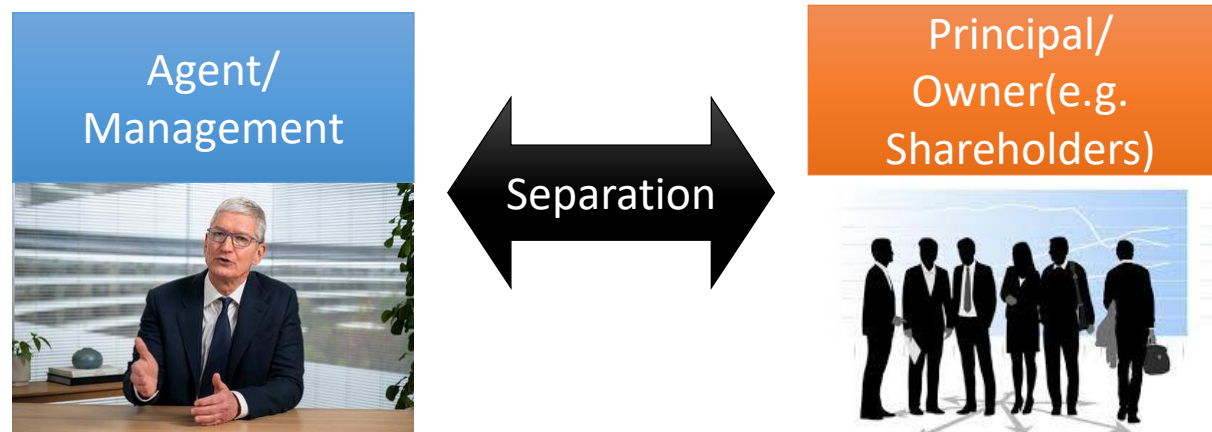
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Corporate governance issues
included in BP's 2021 annual report

Why is Corporate Governance important (1/2)?

- Corporate governance is important because of the ***conflict that arises between owners and management (agency problem)***
- **Management (agent) are employed by a company's owners (principal. e.g. shareholders)**
 - Management (agent) are employed to make decision for shareholders' best interest.
- However, if management are working for themselves (pursuing their own interests first rather than shareholders' interests) => ***Agency problem arises.***

Why is Corporate Governance important (2/2) ?



- **STRENGTH**

When CEO Tim Cook is working for Apple's shareholders' best interests.

- *Mr. Tim Cook is an expert in IT industry (thus, shareholders don't need to concern about Apples' daily operation).*

- **Side effects (Agency problem)**

When CEO Tim Cook is working for himself.

- *E.g., if he wants a higher salary (remuneration), more spacious & luxurious CEO office, more generous retirement plan...*
- *Management decisions that may increase his own wealth, but may harm to shareholders' wealth.*

The rise of corporate governance

High profile US company scandals and collapses caused a shake up in corporate governance.

- Enron (US) - 2001
- WorldCom (US) - 2002
- Lehman Brothers (US) - 2008

Enron's scandal: <https://www.youtube.com/watch?v=gGBf2XYIXF8>

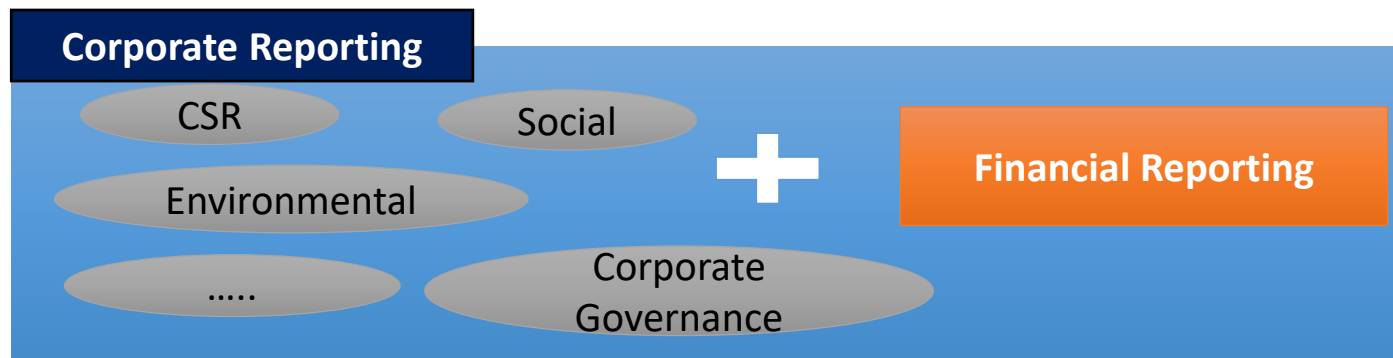
Reaction to scandals:

Sarbanes-Oxley Act - 2002

Dodd-Frank Act - 2010

Corporate reporting and Financial reporting (Ch.3)

- The exact definition of corporate reporting differs depending **on who you speak to.**
 - **Investors and lenders/creditors** (primary users) are the main users of Financial Statements
 - Therefore firms' reporting focused on '**financial reporting**' (traditional view)
 - However, there has been **increased focus** on **various stakeholders** in recent years (e.g. employees, society, government and environmental NGOs' are the users of corporate reporting)
 - In general, corporate reporting now covers a much broader range beyond just the (conventional) financial reporting.



CSR Report

- Corporate Social Responsibility describes how entities **adopt policies** of their own free will which benefit stakeholders.

Local communities	• Purchasing produce from the locality, volunteering in local schools, providing money donations to local charities, sponsoring prizes for educational programmes, etc.
Employees	• Health and safety, fair wages, pensions, training, promotion, share options, etc.
Customers	• Warranties, customer support, guarantees, etc.
The environment	• Pollution, recycling, energy saving
In general	• Conducting business in an ethical manner (ethical code of practice)

Figure: Examples of CSR activities that benefit various stakeholders

Why CSR Report ?

- CSR and ESG (Environmental, Social, Corporate Governance) reporting is growing recently to cater to a wider range of users
- Increasing demand for non-financial information
 - One of the limitations of financial statements
- But it has its own limitations:
 - e.g. companies might highlight what they do for the environment and the community but may not identify the environmental risks their entity creates

Environmental accounting

- Also known as **green accounting**.
- Provided by different organisations:
 - Government – tries to highlight the **contribution that the natural environment makes to the economy** (economic contribution earned from the environment's resources and benefits from social well-being) and record expenditure on protecting the environment
 - <https://www.ons.gov.uk/economy/environmentalaccounts> (U.K government environmental accounts example)
 - Companies - aim to make **stakeholders** aware of the steps an entity is taking to protect the environment (social conscious)
- Reporting may *NOT* necessarily be in **monetary terms**.
 - For example, green house gas emissions are commonly reported on in millions of tons of CO₂.

Examples from Chinese Companies

- Jd.'s ESG / Sustainability / Green finance reports
- <https://ir.jd.com/esgcsr>
- Xiaomi's environmental social governance reports
- <https://ir.mi.com/environmental-social-governance>
- Huawei's sustainability reports and governance policies
- <https://www.huawei.com/en/sustainability/sustainability-report>



Homework

- ▶ Review the content of this lecture
- ▶ Attempt the tutorial questions on time

Thanks for listening

